

Hearing of the President of the Authority for the Protection of Personal Data, Prof. Pasquale Stanzione
- Draft of the “Annual Law for the Market and Competition 2022” (AC 1555)
Chamber of Deputies - Commission X
(November 29, 2023)

The Authority can only appreciate the Commission's intention to acquire the opinion of the Authority – already expressed during the first reading in the Senate – on a text that confirms how profound the mutual implications are between data protection, antitrust regulation, and consumer protection. These interrelations are even more pronounced in a context of increasingly pronounced digitalization of the economy, commercial transactions, and the very services that complement them.

The interrelation between data protection and competition law is, in fact, extremely close: data is the material with which the digital economy is fueled but, as an expression of a fundamental right, it is subject to a statute of guarantees (first and foremost, the attribution of competencies to an independent authority: Articles 8 of the Charter of Fundamental Rights of the European Union and 16 of the Treaty on the Functioning of the European Union) that cannot be weakened, under penalty of violating such primary European norms.

The draft law concerns data protection, in particular, from a dual perspective. On one hand, Article 2 addresses the increasingly close relationship between data protection and consumer protection; on the other hand, Article 18, in adapting the internal legal framework to the Digital Markets Act, outlines a regulatory framework rich in interrelations between data protection and the regulation of digital markets.

In particular, the provisions of Article 2 regulate the use of second-generation smart meters by governing access to consumption data through the Integrated Information System.

Amending Legislative Decree No. 102 of July 4, 2014, which implements Directive 2012/27/EU, it is specifically provided that:

- Acquirente Unico S.p.A., as the manager of the Integrated Information System – through the Portal for electricity and natural gas consumption established pursuant to Article 1, paragraph 8, of Law No. 205 of December 27, 2017 – shall make the supply meter data available to the final customer or, upon their formal request, to a uniquely designated third party, “in compliance with the regulations on the protection of personal data,” in a format that is easily understandable and can be used to compare comparable offers or for the provision of services by such third parties;
- an electronic register shall be established at Acquirente Unico S.p.A. listing the third parties that access the final customer's data, aimed at ensuring, free of charge, the availability to final customers of any information concerning access to data by third parties, including their history and the types of data consulted.

This amendment addresses a topic that has long been submitted to the Authority, within the framework of the establishment, in 2019, by ARERA, of the Consumption Portal through which the final customer, after authentication via SPID, can access the data related to the electricity and natural gas supplies they hold, including their historical consumption data and related technical and contractual information. This provision allows the final customer to exercise the right to manage their withdrawal data to identify their “energy footprint.”

However, the proposed amendment would require some clarifications and integrations that, beyond the aforementioned obligation to comply with data protection regulations, ensure its conformity already at the definitional stage, even before it becomes applicable.

In particular, the objective and subjective limits of access to the Portal should be defined, specifying, from the first perspective, the scope of the “third parties” authorized to access the consumption data of final customers, as well as, from the second, the types of data “related to input” and “withdrawal” of electricity and the withdrawal of natural gas. The Consumption Portal contains, in fact, a multitude of personal data (e.g., personal data, POD and PDR, switching practices, contractual data, etc.) whose broad availability to parties other than the data subject could have significant implications for privacy

(consider the widespread phenomenon of fraudulent activation of accounts in the free energy market). Furthermore, the purposes of access should be more precisely identified, with a formulation that is more circumscribed than that related to the comparison of “comparable offers” or “the provision of services by the aforementioned third parties,” which is inadequate in itself to exclude further purposes (e.g., customer profiling, statistical data processing, etc.) beyond those more strictly connected to assessing the final customer's energy footprint or the comparison of comparable offers pursued by the regulations (see also Directives No. 2019/944/EU and 2012/27/EU).

The expansion of access possibilities to the consumption data of end users by third parties would, in fact, due to its possible implications, require a more analytical assessment of the opportunity to redefine the role of the Consumption Portal within the Integrated Information System, according to a proper balance between the interest in promoting energy efficiency and the right to personal data protection.

Article 18, on the other hand, adapts the internal legal framework. to the regulation (EU) 2022/1925 (so-called Digital Markets Act), whose designated Authority for enforcement is identified as the Authority for the Guarantee of Competition and the Market. The provision correctly preserves the general supervisory and control competencies of the Authority, with particular regard to some of the profiles governed by the regulation, which are of greater importance for the protection of personal data.

The explicit mention of such a safeguard clause, although derivable from the supranational legal framework, becomes necessary—as emphasized by the Authority in preliminary discussions with the Government—in order to avoid potential conflicts and overlaps of competencies among the involved Authorities at the domestic level. The need for adequate coordination and, therefore, for fair collaboration between the Authority for Competition and the Authority for Data Protection has, moreover, been generally affirmed by the Court of Justice of the European Union (CJEU) in its ruling of July 4th (C 252/21), also noting that the former must consult the latter whenever, in the context of their own investigations, profiles impacting data protection come into play. The procedural connection thus made possible is, moreover, all the more necessary to avoid the double jeopardy criticized, in relation to punitive law in the conventional sense, by the Court itself.

The importance of data protection profiles in this matter is further demonstrated by the provision in Article 15 of the DMA, relating to the obligation, imposed on the Commission, to transmit to the European Data Protection Board a description (subject to independent audit) of the consumer profiling techniques applied by gatekeepers to the core services they offer.

The safeguard clause referred to in paragraph 8 of Article 18 is, therefore, appropriate, unless it is integrated with reference also to Article 6, paragraphs 10, last sentence, and 11. These provisions indeed concern the access that gatekeepers must allow to commercial users and third parties authorized by them, to personal data related to the use made by end users, with their consent, in relation to products or services offered by the commercial user through the platform and to anonymized data related to searches, clicks, and views that search engines must be able to access. The described obligations presuppose, in fact, corresponding duties of fairness in the processing of end users' data, compliance with which must be verifiable by the Authority.

With the suggested integration, Article 18 of the draft law can provide an adequate regulatory response to the challenges posed by the digital economy, placing the collaboration between the Authorities within an essential regulatory framework, susceptible to further clarifications and developments also through subsequent conventional acts.